

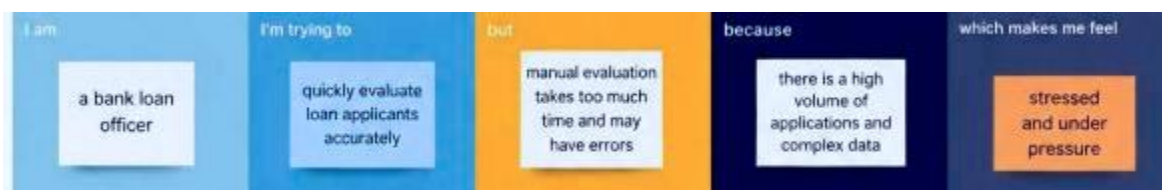
Project Initialization and Planning Phase

Date	27 June 2026
Team ID	xxxxxxx
Project Name	Smart Lender
Maximum Marks	3 Marks

Define Problem Statements :

The Smart Lender – Loan Eligibility Prediction System is designed to address the challenges faced by both loan applicants and financial institutions during the loan approval process. Traditional loan evaluation methods are often time-consuming, require extensive manual verification, and may lead to inconsistent decisions. By understanding the needs, difficulties, and expectations of customers such as loan applicants, credit officers, and financial analysts, the project aims to develop an intelligent machine learning solution that provides fast, accurate, and reliable loan eligibility predictions. The following customer problem statements identify the key issues experienced by different stakeholders and form the foundation for designing an efficient, data-driven loan approval system.

Example:



Problem Statement (PS)	I am (Customer)	I'm trying to	But	Because	Which makes me feel
PS-1	A salaried loan applicant with a stable income.	Get my loan approved quickly.	The loan approval process takes a long time.	Banks manually verify every application and supporting document.	Frustrated and anxious about the delay.
PS-2	A bank credit officer.	Evaluate loan applications accurately and quickly.	Reviewing every application manually is time-consuming and prone to errors	There are many applications to process during peak periods.	Overloaded and concerned about making incorrect decisions.

PS-3	A financial analyst in a bank.	Identify high-risk loan applicants before approval.	It is difficult to accurately predict loan defaults using only manual assessment.	Applicant information is complex and risk factors are not always obvious.	Concerned about approving risky loans and increasing financial losses
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